Smithson Systematic Multi-Asset

Systematic Multi-Asset Absolute Return Strategy

Track Record: Jan 2021 - Jul 2026 (67 Months / 5.6 Years) | **Benchmark:** S&P 500 Total Return

ATHÉNÉE INVESTMENT

CAPITAL INTRODUCTION & THIRD-PARTY MARKETING

CAGR (Net)	Ann. Volatility	Sharpe Ratio	Max Drawdown	Ann. Alpha (α)
72.69%	**9.43%**	**5.97**	**-0.90%**	**57.02%**
S&P 500: 14.76%	S&P 500: 15.22%	S&P 500: 0.99 | Sortino: 140.25	S&P 500: -23.87% | Calmar: 80.77	Beta: -0.05 | Corr: -0.08

Performance, Risk & Hit Rate Indicators

Indicator	Fund	S&P 500
CAGR (Compound Annual Growth)	**72.69%**	14.76%
Annualized Mean Return	56.31%	14.99%
Annualized Volatility (Std. Dev.)	9.43%	15.22%
Proxy Sharpe Ratio ($r_f = 0\%$)	**5.97**	0.99
Annualized Sortino Ratio	140.25	1.66
Maximum Drawdown (MDD)	**-0.90%**	-23.87%
Calmar Ratio (CAGR / |MDD|)	80.77	0.62
Cumulative Total Return	2012.31%	115.74%
Best / Worst Monthly Return	+12.40% / -0.90%	+10.49% / -9.21%
Positive Months (Hit Rate)	97.0% (65/67)	64.2% (43/67)
Crisis Hit Rate (Fund > 0 | SPX < 0)		**95.8% (23/24)**
Up-Mkt Loss Rate (Fund < 0 | SPX > 0)		2.3% (1/43)

Alpha, Beta, Correlation & Tail Analysis (vs. S&P 500)

Quantitative Metric	Estimate / Diagnostic
Annualized Alpha (α) & t-stat	**57.02% (t=13.68)**
Market Beta (β_{SPX}) & t-stat (R^2)	-0.05 (t=-0.62) ($R^2 = 0.6\%$)
Pearson Correlation (r) to S&P 500	**-0.08** (95% Blk CI: [-0.34, 0.22])
Spearman Rank Correlation (ρ)	-0.03 (95% Blk CI: [-0.29, 0.26])
Upside / Downside Capture Ratio	Up: **1.12** | Down: **-1.52**
Conditional Up-Market (SPX > 0)	$\alpha = 47.0\%, \beta = 0.12$
Conditional Down-Market (SPX < 0)	$\alpha = 65.9\%, \beta = 0.06$
Tail Corr. (SPX $<$ 1st Quartile)	$r = -0.01, \rho = 0.07$ ($n = 17$)
Tail Corr. (SPX $<$ 1st Decile)	$r = 0.19, \rho = 0.46$ ($n = 7$)
Worst 20% SPX Months Avg. Return	Fund: +4.93% vs SPX: -5.22%
Cross-Asset Beta (WTI / BTC)	WTI β: 0.01 | BTC β: 0.00
Ljung-Box Autocorrelation	$p_1 = 0.36$, $p_3 = 0.77$ (Pass (No Serial Corr.))

Historical Monthly & Yearly Net Return Matrix (%)

Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Yearly
2021	6.6%	1.1%	3.9%	0.7%	1.8%	6.4%	2.8%	6.1%	-0.9%	6.8%	12.2%	2.4%	**62.0%**
2022	5.9%	9.6%	5.8%	6.8%	5.6%	9.6%	3.6%	4.4%	1.3%	7.9%	1.6%	1.5%	**85.0%**
2023	3.0%	2.4%	9.6%	4.4%	3.7%	2.8%	4.0%	5.8%	2.2%	6.9%	6.1%	2.0%	**67.4%**
2024	3.7%	4.1%	5.2%	8.5%	5.7%	4.0%	-0.3%	6.6%	3.2%	2.4%	5.8%	1.5%	**63.4%**
2025	3.1%	5.2%	3.8%	8.5%	4.2%	3.3%	2.6%	8.4%	5.7%	3.3%	4.9%	5.2%	**76.2%**
2026	5.4%	1.1%	12.4%	6.2%	5.4%	3.7%	5.2%	-	-	-	-	-	**46.3%**

Capital Introduction & Third-Party Marketing Memorandum. Strictly for Institutional & Qualified Investors. Please see Page 2 for Risk & Legal Disclosures.

Appendix, Quantitative Methodology & Risk Disclosures

Fund Reference: Smithson Systematic Multi-Asset (Jan 2021 - Jul 2026 (67 Months / 5.6 Years))

Appendix A: Extended Statistical, Bootstrap & Factor Diagnostics

Diagnostic Family	Methodology / Statistical Specification	Empirical Value
Pearson Correlation CI	95% Confidence Interval (Standard IID Bootstrap vs. Moving Block $B = 3$, 1,000 iters)	Std: [-0.32, 0.18] | Blk: [-0.34, 0.22]
Spearman Rank Corr. CI	95% Confidence Interval (Rank Monotonic Co-Movement, Standard vs. Block $B = 3$)	Std: [-0.30, 0.23] | Blk: [-0.29, 0.26]
Worst-Case Co-Dependence	97.5th Percentile Upper-Bound Block Bootstrap Correlation (Nearest PSD Projection)	$\rho_{\text{wc}} = 0.22$
Serial Correlation (Lag 1 & 3)	Ljung-Box Q-Statistic p-values testing for return smoothing / illiquidity bias	$p_1 = 0.36,\ p_3 = 0.77$ (Pass (No Serial Corr.))
Conditional Up-Market OLS	Annualized Alpha & Beta estimated strictly during positive S&P 500 months ($n = 43$)	$\alpha = 47.0\%, \beta = 0.12$ ($t_\alpha = 6.73$)
Conditional Down-Market OLS	Annualized Alpha & Beta estimated strictly during negative S&P 500 months ($n = 24$)	$\alpha = 65.9\%, \beta = 0.06$ ($t_\alpha = 4.45$)
Commodity Factor (WTI)	OLS Regression against Front-Month WTI Crude Oil Monthly Returns	$\beta = 0.01$ ($t = 0.29$), $\alpha = 56.2\%$
Digital Asset Factor (BTC)	OLS Regression against Bitcoin (BTC-USD) Monthly Returns	$\beta = 0.00$ ($t = 0.05$), $\alpha = 56.3\%$

Appendix B: Quantitative Framework & Indicator Definitions

- **CAGR & Annualized Volatility:** Compound Annual Growth Rate is computed geometrically as $\text{CAGR} = \left(\prod_{t=1}^{T}(1 + r_t)\right)^{12/T} - 1$. Annualized Volatility is sample standard deviation scaled by $\sqrt{12}$: $\sigma_{\text{ann}} = \hat{\sigma}_m\sqrt{12}$. Proxy Sharpe Ratio assumes $r_f = 0\%$ ($\bar{r}_{\text{ann}}/\sigma_{\text{ann}}$).
- **Maximum Drawdown (MDD) & Calmar Ratio:** Maximum peak-to-trough decline of cumulative compounded wealth $W_t = \prod_{s\le t}(1 + r_s)$, defined as $\text{MDD} = \min_t\left((W_t - \max_{s\le t} W_s)/\max_{s\le t} W_s\right)$. Calmar Ratio is CAGR/|MDD|.
- **OLS Alpha (α), Beta (β) & Capture Ratios:** Estimated via Ordinary Least Squares $r_{\text{fund},t} = \alpha_m + \beta r_{\text{SPX},t} + \varepsilon_t$, where $\alpha_{\text{ann}} = 12 \times \alpha_m$. Upside (Downside) Capture measures the ratio of the fund's mean return to the S&P 500's mean return during positive (negative) S&P 500 months.
- **Tail Correlations & Moving Block Bootstrap:** Tail correlations evaluate linear (r) and rank (ρ) co-movement during S&P 500 drawdowns below the 25th percentile (Q_1) and 10th percentile (D_1). Moving Block Bootstrap ($B = 3$ months) preserves local serial dependencies when constructing 95% confidence intervals.

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